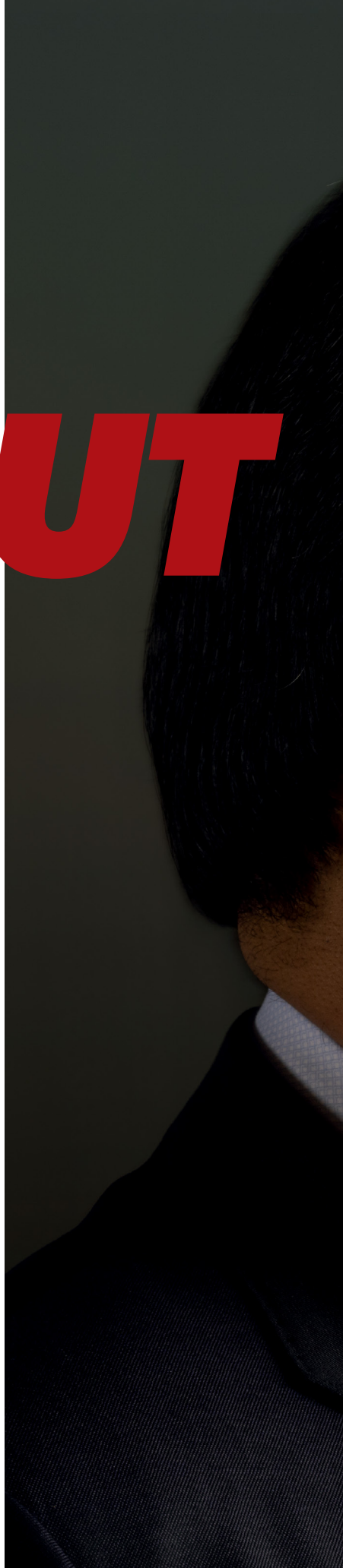
COVER STORY
ADANI CONTROVERSY

THE FALLOUT

Adani may yet survive the Hindenburg missile, but the industrialist will have to clean up his act and the regulators will have to do their job to ensure macroeconomic stability

BY M.G. ARUN AND RAJ CHENGAPPA



When Gautam Adani became India's richest individual and the world's third wealthiest towards the end of 2022, he shrugged off such rankings as inconsequential. The chairman of the Adani Group, a multi-billion-dollar ports-to-power conglomerate, told INDIA TODAY, "I get my thrills from handling challenges—the bigger they are, the happier I am." Standing before him now is the biggest challenge of his career and the consequences so far have been completely unfavourable for him and the Ahmedabad-based group he has built single-handedly.

Adani Enterprises had been preparing to launch an FPO (follow-on public offer) when, on January 24, the New York-based short-seller Hindenburg Research came out with a sensational report that levelled a series of allegations against the group, including stock-market manipulation and accounting fraud. The group's shares plummeted, eroding as much as $120 billion (nearly Rs 10 lakh crore) in investor wealth in nine group companies in a week. As on February 7, the market capitalisation of these nine companies listed on the exchanges stood at just Rs 9.8 lakh crore, nearly half their valuation two months ago. And Adani himself had slipped to 17th place on the Forbes Wealthiest list and lost his distinction as India's richest.

He may have temporarily succeeded in stopping his shares from haemorrhaging further, but not before the steep fall cast a foreboding shadow on the future of